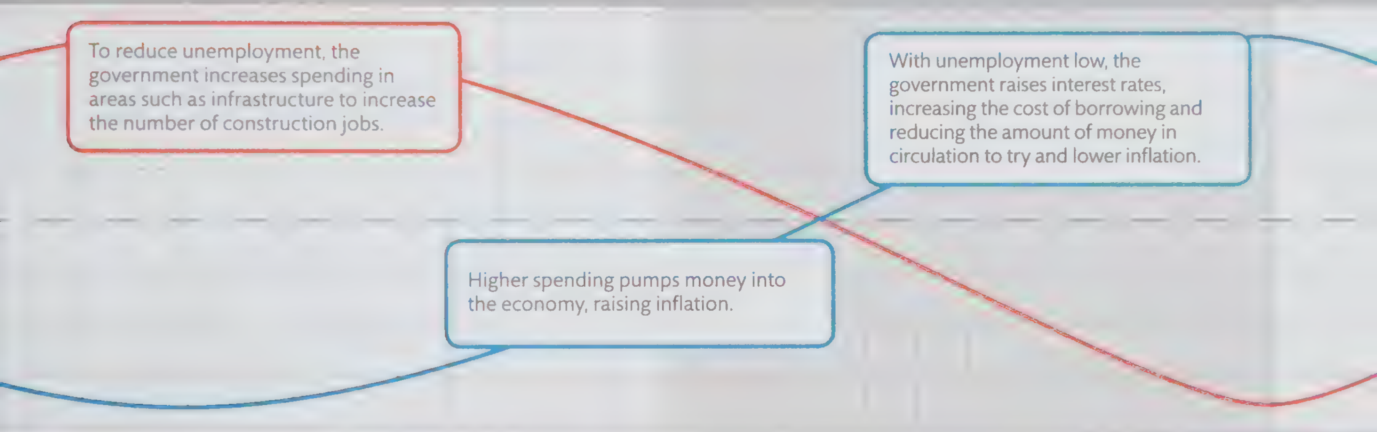
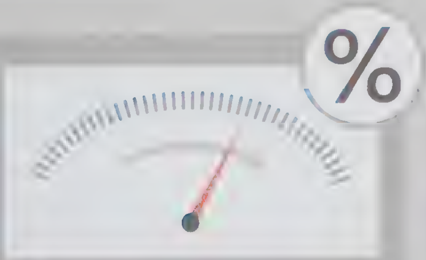
How it works

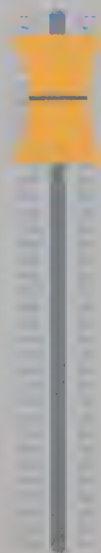
Economic policy making has been compared to trying to operate a finely balanced machine. By adjusting various policy "dials," the government aims for the best combination of key economic variables—usually, a combination of low inflation and unemployment levels. However, economists point to a trade-off between inflation and unemployment, with low unemployment coming at the cost of high inflation, and vice versa (*see pp.132–135*). More recently, economists have concluded that economies run best by themselves, with limited intervention. Other institutions have control over policy, while the state concentrates on "supply-side policies," such as making markets more efficient.



Increasing spending

When the economy slows down and there is a risk of rising unemployment, the government can try to stimulate the economy by increasing spending. By encouraging public spending, the state increases the likelihood of firms employing more people to meet the extra demand. Cutting spending has the opposite effect.




Raising interest rates

A government that directly controls the central bank (*see pp.100–103*) can try and move interest rates. When interest rates rise, borrowing becomes more expensive, leading people to spend less money, and businesses may feel pressure to reduce their prices, thereby lowering inflation. Cutting interest rates has the opposite effect.